Initial Public Offering

The first sale of a company's stock to the public

EAS5450 Class #15

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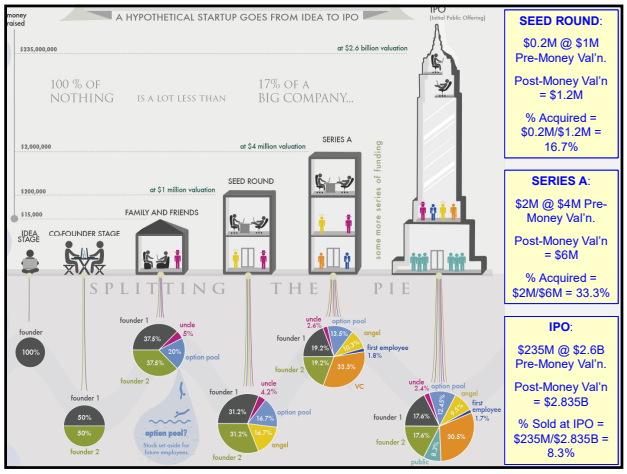


SEED ROUND:

$0.2M @ $1M Pre-Money Val'n.

Post-Money Val'n = $1.2M

% Acquired = $0.2M/$1.2M = 16.7%

SERIES A:

$2M @ $4M Pre-Money Val'n.

Post-Money Val'n = $6M

% Acquired = $2M/$6M = 33.3%

IPO:

$235M @ $2.6B Pre-Money Val'n.

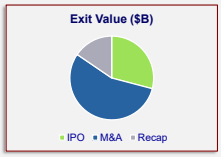
Post-Money Val'n = $2.835B

% Sold at IPO = $235M/$2.835B = 8.3%

2

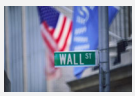
Investors Must Foresee an Exit Strategy

- **IPO**: Underwriters sell the company's stock in the public market.
- **Strategic Investor**: Acquiring firm buys the company's stock.
- **Recapitalization**: Company buys back its investors' stock with new debt and/or equity.



NVCA Pitchbook Venture Monitor 3Q2024

3



The IPO Decision

(Which may not be entirely ours to make)

- **Investor "exit" strategy…**
  … but a *transition* for us.
- **Changes dynamics of the company.**
- **Need to think long and hard:**
  - Can we go public?
  - Should we go public?
  - Do we go public?

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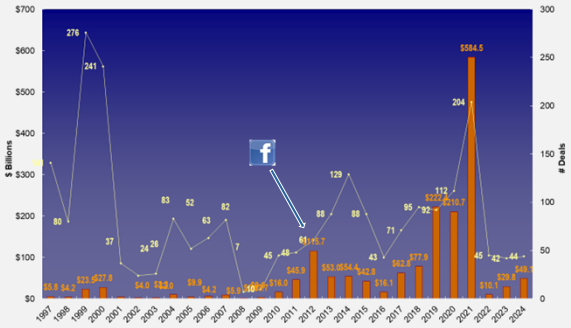
The stock market is volatile…

Yahoo Finance: Mar 5, 2025

5

… and the IPO market is volatile.



Source: Pitchbook 2024

NOTE: Includes VC-backed IPOs that disclosed financial terms.

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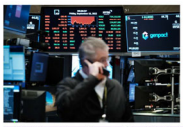
https://www.wsj.com/articles/poor-ipo-stock-performance-weighs-further-on-new-issue-market-11664194701

MARKETS STOCKS IPOS

IPO Stocks Have Tumbled, Hobbling Demand for New Listings

About 87% of companies that went public last year are trading below their initial-public-offering prices



A volatile stock market is one of the reasons IPOs are having the slowest year in more than a decade.
PHOTO: SPENCER PLATT / GETTY IMAGES

By Corrie Driebusch Follow

Sept. 26, 2022 5:33 am ET

Recently public companies are among the worst performers in this year's stock-market rout, contributing to a deep freeze in the IPO market that shows few signs of thawing.

Roughly 87% of companies that went public in the U.S. last year are trading below their offering prices, down more than 49% on average as of Friday's close, according to Dealogic. By rough comparison, the S&P 500 is down 23% this year, while the tech-heavy Nasdaq Composite has fallen 31%.

Wall Street Journal: Sept 26, 2022

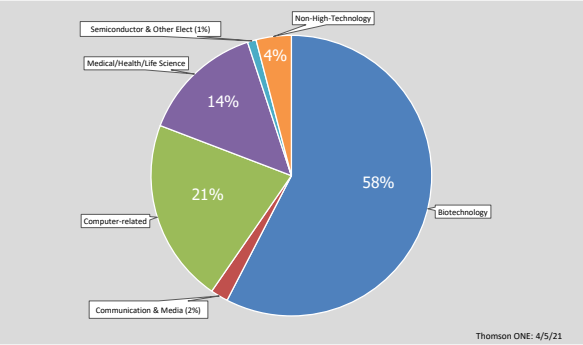
8

Specific trends and considerations for bioventures

9

IPO Deals by Sector in 2020

(% of Deals)



Thomson ONE: 4/5/21

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Bioventures differ from other technology companies in several important ways

- **Bioventures require more time and money, and are more complex**
  - Non-dilutive grant funding is common (NIH, NSF, SBIR, ATG)
  - More rounds
  - Larger capital raised in rounds
  - ∴ Greater dilution of founders and shareholders
- **Focus of bioventures is progress and value at each major milestone**
- **Investor returns and mechanisms for realizing those returns must be factored into strategic decisions**
- **Investors in drug companies may never expect to bring a product to market**

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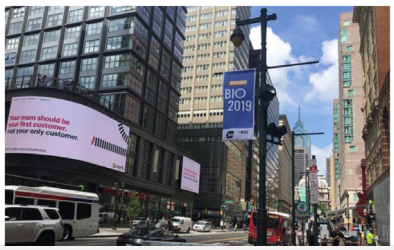
Biotech

BIO: CEOs weigh in on biotech companies going public earlier and earlier

by Amesh Ali Mirza | Jun 12, 2019 11:03am



- **IPOs may be used for bioventures that are pre-revenue -- usually NOT the case for other hi-tech ventures.**

FierceBiotech 6/12/2019

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"[R]ight now, it just feels a bit silly, if not suicidal" to consider going public, Stampacchia said in 2022.

Value of most top 2021 biotech IPOs has tanked since offering

The top 10 biotech companies have lost nearly 40% in share price on average since their IPOs last year. Of the 10, only Verve Theraputics has seen an increase in its share price.

Company / Focus	IPO proceeds	Share price at IPO	Share price current	Market cap	Share price 3/5/25	
Sana Biotechnology / Cancer; cell therapy	$676 M	25.00	8.81	$1.5B	$2.55	
Recursion Pharmaceuticals / Rare diseases, small molecules	502	18.00	12.36	2.0	$6.58	
Lyell Immunopharma / Cancer, cell therapy	425	17.00	5.98	1.4	$0.70	
Centessa Pharmaceuticals / Cancer, small molecules	380	20.00	9.53	0.9	$16.96	
Instil Bio / Cancer, cell therapy	368	20.00	12.21	1.5	$18.05	1:20 Stock Split 12/8/23
Adagio Therapeutics / Infectious diseases, biologics	356	17.00	7.76	0.9	$1.06	Now Invivyd
Erasca / Cancer, small molecules	345	16.00	11.54	1.4	$1.42	
LianBio / Cardiovas., oncology, therapeutics	325	16.00	4.14	0.4	$0.19	
Verve Therapeutics / Heart diseases, gene therapy	307	19.00	28.99	1.4	$6.55	
Caribou Biosciences / Cancer, gene therapy	304	16.00	11.11	0.6	$1.15	

Otello Stampacchia
Managing Director, Omega Funds, 2022

DOMAIN ASSOCIATES

CONFIDENTIAL

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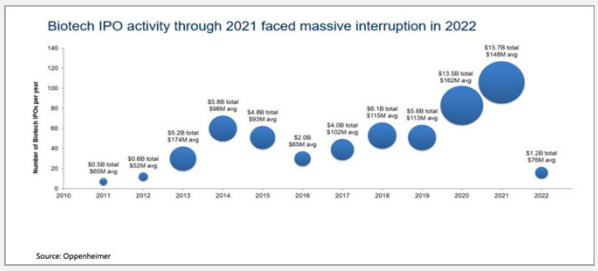
How quickly things can change!

(maybe a multi-billion dollar valuation for a company with a <5% chance of ever having a product is too much?)

2022 is Worst Year for Biotech IPO Activity since 2012



Source: Oppenheimer

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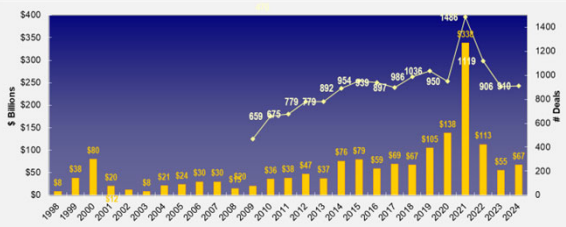
… and the M&A market is volatile

(though less volatile than the IPO market)



Source: Pitchbook 2024

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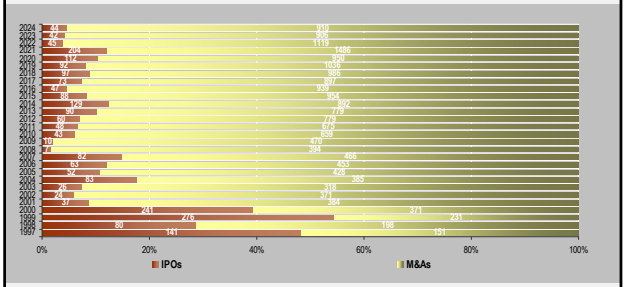
IPO's vs M&A's



Source: Pitchbook 2024

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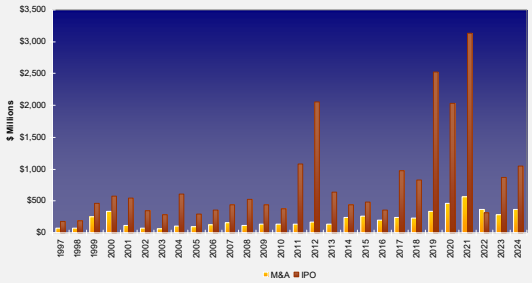
IPO vs M&A Valuation

Avg. $ Millions per Deal



Source: Pitchbook 2024

20

Exit Strategy

1. **IPO First**
   - Achieve relatively high valuation
2. **Acquisition Second**
   - Sell at a premium over market price

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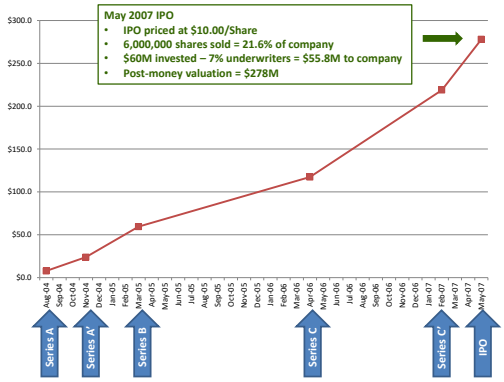
sirtris

Sirtris Pharmaceuticals

22

Sirtris Post-Money Valuations ($M)



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GSK Acquisition Details

- April 22, 2008
- $22.50/Shr = 80% premium over $12.50/Shr market price
- $716 million valuation
- 25% 4-year holdback provision

	Original Common Shares	Vested Options	Accelerated Options	Accelerated Restricted Stock	TOTAL SHARES	TOTAL VALUE ($22.50/Sh)
Christoph Westphal	355,114	173,256	409,217	207,136	1,144,723 (3.6%)	$25.76MM
David Sinclair	121,508	121,221	97,559	31,326	371,614 (1.2%)	$8.36MM

Source: SEC Schedule 14D-9 for Sirtris Pharmaceuticals

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Kathy Crothall (EE '71)

Animas
Bringing new life to insulin therapy

25

Animas

Bringing new life to insulin therapy

May 2004: IPO @ $15.00/Shr.

Feb 2006: Acquired by J&J @ $24.50/Shr

- $525 million
- 38% premium over pre-announcement $17.75/Shr
- 6.2 X revenues in 2005

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Why Go Public?

- **Access to large, efficient capital market**
  - **Provides new capital**
    - Typical IPO: $40-70 MM or more
  - **Provides future capital**
    - Once public, easier to go back to market
    - 1/3 of IPO firms go back within 5 years
    - Second offerings often larger than IPO

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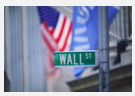

Why Go Public (Cont'd)

- **Cashing Out**
  - **Liquidity for investors**
  - **Insiders can gradually sell shares**
    - Insiders usually cannot sell much at IPO
    - Bad signal to cash out early
    - "Lock-Up Period" delays cash out
    - Risk of not being able to sell

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Why Go Public (Cont'd)

- **Mergers and acquisitions**
  - Enhanced credibility
  - Shares become currency for deals
- **Higher profile image**
- **Employee compensation**
  - Can give options or equity
    - Conserves cash
    - Gives outside value to options
  - Boosts morale

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IPO Concerns

- **Profit sharing**
  - Why share value with outsiders?
  - Outsiders may not understand true value
- **Public disclosure**
- **Reporting and fiduciary responsibility**
  - SEC and state securities laws
  - Filing time and expense

30

Going Private Is Paying Off for Dell

A year later, we're able to focus on customers and the long term, rather than activist investors.

By Michael Dell
Nov. 24, 2014 6:47 pm ET

My partners at Silver Lake Management and I successfully took Dell private a year ago in the largest corporate privatization in history. I'd say we got it right. Privatization has unleashed the passion of our team members who have the freedom to focus first on innovating for customers in a way that was not always possible when striving to meet the quarterly demands of Wall Street.

Wall Street Journal, 11/24/2014

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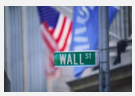

IPO Concerns (Cont'd)

- **Time**
  - Selecting an underwriter
  - IPO preparations and road shows
  - Investor relations post-IPO
- **Expense**
  - Transaction cost
    - 7% to underwriter
    - Lawyers, accountants, printing, travel
  - Post-IPO expenses

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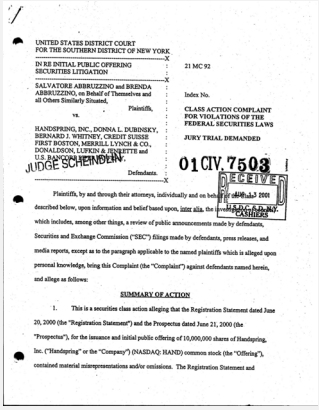
IPO Concerns (Cont'd)

- **Loss of control**
  - Outsiders can gain control of firm
  - Hostile take-over possibilities
- **Legal liability**
  - Liable for what you SHOULD have known
  - Liable for omissions, incorrect pricing
  - Class action law suits

33



UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF NEW YORK

IN RE INITIAL PUBLIC OFFERING SECURITIES LITIGATION

21 MC 92

SALVATORE ABBRUZZINO and BRENDA ABBRUZZINO, on Behalf of Themselves and all Others Similarly Situated,

Plaintiffs,

vs.

HANDSPRING, INC., DONNA L. DUBINSKY, BERNARD J. WHITNEY, CREDIT SUISSE FIRST BOSTON, MERRILL LYNCH & CO., DONALDSON, LUFKIN & JENRETTE and U.S. BANCORP PIPER JAFFRAY,

Defendants.

Index No.

CLASS ACTION COMPLAINT FOR VIOLATIONS OF THE FEDERAL SECURITIES LAWS

JURY TRIAL DEMANDED

JUDGE SCHEINDLIN

01 CIV. 7503

RECEIVED
JUL 13 2001
U.S.D.C. S.D. N.Y.
CASHIERS

Plaintiffs, by and through their attorneys, individually and on behalf of all others similarly situated, [illegible] described below, upon information and belief based upon, inter alia, the investigation of counsel, which includes, among other things, a review of public announcements made by defendants, Securities and Exchange Commission ("SEC") filings made by defendants, press release, and media reports, except as to the paragraph applicable to the named plaintiffs which is alleged upon personal knowledge, bring this Complaint (the "Complaint") against defendants named herein, and allege as follows:

SUMMARY OF ACTION

1. This is a securities class action alleging that the Registration Statement dated June 20, 2000 (the "Registration Statement") and the Prospectus dated June 21, 2000 (the "Prospectus"), for the issuance and initial public offering of 10,000,000 shares of Handspring, Inc. ("Handspring" or the "Company") (NASDAQ: HAND) common stock (the "Offering"), contained material misrepresentations and/or omissions. The Registration Statement and

"… the underwriters engaged in a pattern of conduct to surreptitiously extract inflated commissions.

… the defendants controlled the public dissemination of false and misleading information.

… the underwriters took steps to distort the market for Handspring shares.

… the defendants carried out an unlawful scheme of fraud and deceit to deceive the investing public and cause the plaintiffs to purchase Handspring stock at artificially inflated prices."

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Milberg Securities Litigation

CASE (Settlement Date)	Total Settlement	Milberg Legal Fees
Nasdaq Market-Makers (9/98)	$1,000 million	$180 million
Lucent Technologies	$517 million	$98 million
Oxfrod Health Plans (6/03)	$300 million	$99 million
3Com (2/01)	$259 million	$65 million
Rite Aid – part one (4/01)	$193 million	$64 million
Dole Food (3/03)	$172 million	$8 million
Dollar General (5/02)	$162 million	$33 million
MicroStrategy (4/01)	$155 million	$51 million
Informix (10/99)	$137 million	$44 million
Computer Associates (12/03)	$134 million	$40 million
Rite Aid – part two (5/03)	$127 million	$32 million
Mattel (9/03)	$122 million	$37 million
Ikon Office Solutions (4/00)	$111 million	$33 million
Sunbeam (11/01)	$110 million	$31 million

Lenzer, R. and E. Lambert. "Mr. Class Action." Forbes 16 Feb 2004; 82-90.

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THE WALL STREET JOURNAL.
WSJ.com

MARKETS | Updated September 26, 2012, 12:13 p.m. ET

Facebook's Next Fight: Suits, and More Suits

By AARON LUCCHETTI

Facebook Inc.'s botched initial public offering is turning into a potential legal morass for the social-networking firm, its investment bankers and the exchange on which it went public.

About 50 lawsuits have been filed against Facebook, Nasdaq and underwriters of Facebook's May IPO. Aaron Lucchetti reports on Markets Hub. Photo: Reuters.

About 50 lawsuits have been filed against Facebook, Nasdaq OMX Group Inc. and underwriters of Facebook's May IPO, according to lawyers involved in the cases.

Agence France-Presse/Getty Images

About 30 lawsuits name Facebook as a defendant; the rest focus on Nasdaq, underwriters and directors.

In addition, securities lawyers who represent Facebook investors say they expect hundreds of arbitration claims to be launched against brokers and securities firms that pitched the company's shares.

While investors face an uphill battle to recover losses, some legal experts said defendants in the arbitration claims and civil lawsuits face potentially large financial exposure given the stock's 47% slide since the IPO. The slump has erased about $38 billion in Facebook's stock-market value. On Tuesday, the company's shares fell 2.5%, or 51 cents, to $20.28 in Nasdaq trading.

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IPO Decision Factors

THE WALL STREET JOURNAL.
WSJ.com

IPO OUTLOOK | SEPTEMBER 13, 2010

Leaning Toward an IPO? Think About It

By LYNN COWAN

There has been so much angst this year over how IPOs are faring in a rough environment that some observers believe more companies should think hard before deciding to go public.

For all the positives associated with an initial public offering of stock—the money raised for the company, stock options, the ability of owners to gradually sell off their stakes—there are some equally compelling reasons to stay private. The regulatory cost of being a public company can be onerous, stockholder expectations can hinder long-term plans, and options can quickly sink underwater in a volatile market.

"Are these things that management wants to be spending its time on?" said Steve Hobbs, a managing director at Protiviti, a consulting and internal auditing firm that advises companies considering IPOs. "Depending on where they are in the growth cycle of the company, is it appropriate to be putting so much of their time and resources into going and staying public as opposed to growing their business and brand?"

This past year is littered with the carcasses of companies that went through months, and sometimes years, of preparation for their IPOs, only to shelve plans in the face of poor market conditions.

Homeland-security specialist O'Gara Group Inc. postponed plans in June after nearly two years in registration. Trony Solar Holdings Co. went through the time-consuming process of hosting roadshows for investors before withdrawing its U.S. filing last month; Trony has since set plans to launch its deal in Hong Kong instead. China Education Inc. filed its plans to go public with the Securities and Exchange Commission in December, amended the document 16 times, lowered its price, then withdrew it last week.

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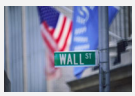

Decision Factors

- **Internal Factors**
  - **Capital needs:**
    - How much capital is needed?
    - When is it needed?
    - Is anything needed with the capital?
  - **Is the company running well:**
    - Good management team?
    - Good story?
  - **Can we devote the resources:**
    - Management time and distraction?
    - Money to fund IPO expenses?

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Many IPO firms aren't profitable yet

Source: Jay Ritter 2024 http://bear.warrington.ufl.edu/ritter/

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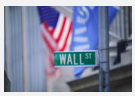
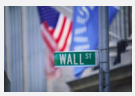


Decision Factors

- **External Factors**
  - Is the IPO market open?
  - Is product demand strong?
  - Alternatives: VC's, private placements, banks loans, leases, government loans, strategic alliances?
  - Competitive threats; e.g., Do we need to get big fast?

40



When is the Right Time?

- **Company Factors**
  - Steady growth
  - Sales revenues & earnings
  - Good story
  - Industry outlook
  - Company qualities
  - Management qualities
- **Financial Markets**
  - Window of opportunity
  - Good comparables for pricing

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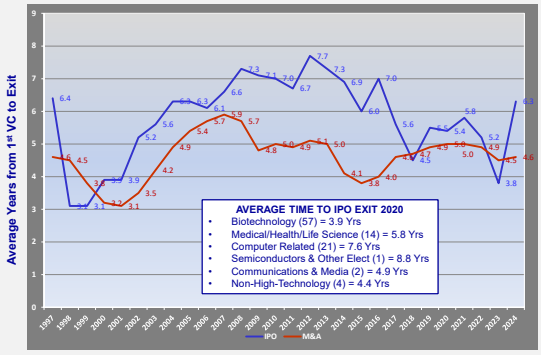
Average Time to Exit



Source: NVCA 2024 Yearbook (Pitchbook data)

NOTE: Includes VC-backed deals that disclosed financial terms.

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Overview of the IPO Process

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IPO Preparation Phase

- **Timing: 1-3 years prior**
- Position business to be well received and perform positively
- Financial reporting systems
- Key management in place
- Board composition
- Governance procedures (Sarbanes-Oxley)
- Focus on predictability of earnings and forecasting
- Capital structure
- Establish ownership allocation
- Integrate any additional acquisitions

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Underwriter(s)

- **Critical to success of the offering**
- **Inherent conflict of interest**

Morgan Stanley J.P.Morgan Goldman Sachs

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Underwriter Selection Criteria

- **Reputation**
  - Industry experience and knowledge
  - Prospectus writing capability
  - Internal group clout w/ Commitment Committee
- **Investor following (institutional and retail)**
  - Institutional sales force size and strength
  - Ability to "muscle through" in a bad market
- **Analyst abilities and following**
- **Aftermarket support**
- **People and chemistry**
  - Lead individual
  - Can you work with them?
  - Will they work with you?

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The IPO process

Decide to go public

Pre-underwriting conferences ("beauty pageant")
Duration: Several months
- How much money to raise?
- What type of security to issue?
- Preliminary valuation
- Choose lead underwriter and other underwriters in the syndicate
- Negotiate underwriting contract
- Get board approval

The Prospectus
- File S-1 registration (prospectus) with the SEC, get approval
- Contains all relevant financial and business information

-13 weeks | IPO | + 40 days | + 90 to 180 days

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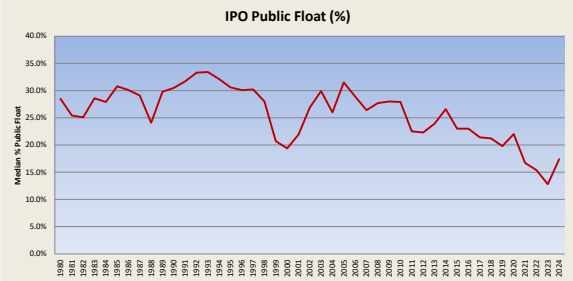
Not all Shares are Sold in the IPO



Source: Jay Ritter, IPO Statistics for 2021

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The IPO process

Registration period
- Management can't talk publicly about anything not in prospectus
- Road show, or dog and pony show: Management travels around world to meet with potential investors, answer questions. Goal: Build hype so as to get a good IPO price
- Book building: Underwriters accept orders for shares from investors indicating the number of shares they want and the price they are willing to pay. Goal: Discover the right price for the IPO, and find investors to buy the IPO shares

Pricing the issue
- Usually day before or morning of IPO
- Underwriters set final price for shares
- Founders / major stakeholders have option to pull IPO at last minute (rare)

-3 Weeks | IPO | + 40 days | + 90 to 180 days

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Pricing Valuation

- **Mispriced offering will haunt you**
  - Legal liability
  - Ability to raise future money
  - Leaving too much on the table
- **Methods**
  - Discounted Cash Flow
  - Comparables: P/E, P/R
  - The pre-IPO "book" demand schedule

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IPO Pricing

1. Start with industry comparables = "book ends"
2. Price low to avoid a difficult deal
3. Road show – get orders
4. Oversubscribe X times over
5. Iterate with institutional buyers to increase price and place shares
6. Move the price up
7. Leave room for after-market bounce
8. Ultimately priced the night before it opens
   - We're a "concerned spectator"

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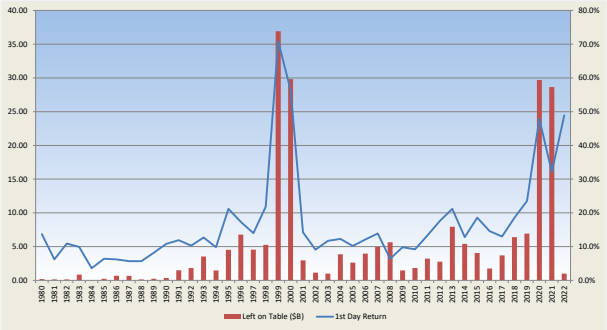
IPO Underpricing: 1st Day "Pop"



Source: Jay Ritter

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The IPO process

The IPO
- Underwriters buy the shares from the company at starting price minus some discount (usually 7%)
- Underwriters sell the shares at starting price, mostly (around 80%) to institutional investors like major brokerage firms, investment banks.
- Shares then begin trading in the open market
- Usually only around 25% of company's shares are publicly traded after the IPO. Remaining shares are "locked up"

Market stabilization
- Underwriter stands ready to buy at a specified price on the market

IPO | + 40 days | + 90 to 180 days

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The IPO process

End of quiet period (40 days after IPO)
Between IPO and now, company insiders are prohibited by law from issuing earnings forecasts, and underwriters are prohibited from making research reports

End of lockup period (90-180 days after IPO)
- Remaining shares cannot be sold by company insiders and large stakeholders (including VCs!) until end of lockup period. This rule is set in prospectus. (Why?)
- At end of lockup period, VC and founders can sell the rest of their stakes. VC exits!

IPO | + 40 days | + 90 to 180 days

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Non-Traditional IPOs

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Google's Dutch Auction

- **Dutch Auction**
  - Internet bidding for shares
  - Bid price where all shares sold = price for all
- **Objectives**
  - Reduce pop in price
  - Reduce profit-taking by "insiders"
- **Results**
  - IPO Aug 19, 2004
  - 19,605,052 shares offered
  - Raised $1.7 billion
  - Price: $85 → 1st Day Close: $100 (+18%)
  - Splits:
    - 3/27/14: 2 for 1
    - 7/18/22: 20 for 1
  - Closed March 13, 2023: $91.66/shr = $3,666/shr pre-splits

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Spotify's IPO…

- **$4.96B IPO: April 3, 2018**
  - Reference price: $132/shr
  - Opened: $165.90/shr (25.6% pop)
  - Closed 1st day: $149/shr = $26.5B market cap
  - Closed 3/13/2023: $123.39/shr = $23.9B market cap
- **Direct Listing on NYSE**
  - No shares offered by Spotify, not company fundraising
  - Transactions with existing employee, investor shareholders
  - No underwriter book sales or advanced pricing

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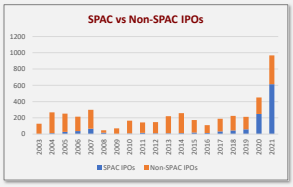
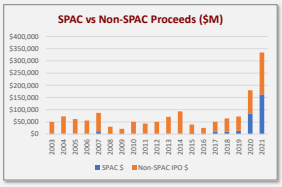
Special Purpose Acquisition Company (SPAC)

Bloomberg Businessweek 8/31/2020

The Big Business Of Nothing

Blank check IPOs raise cash for corporations with no operations—just a plan to buy another company





Source: spacanalytics.com 3/17/22

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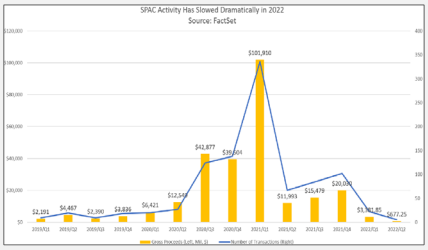

Seeking Acquisitions	137	$31.9
Announced Acquisitions	176	$35.0
Completed Acquisitions	645	$157.3
Liquidated	397	$105.8
Total (2003 - 2023/Q3)	1355	$330.0

Source: spacanalytics.com Oct 2023

Source: FactSet 7/14/22

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How Have They Fared…

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LinkedIn vs. Dow Jones

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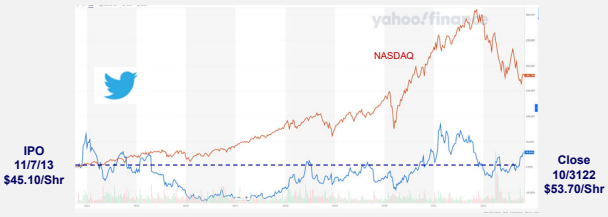
Twitter

Before Elon Bought It



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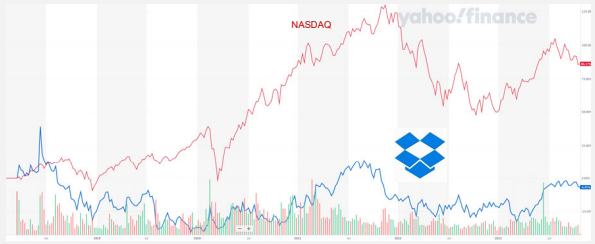
Dropbox



- IPO March 23, 2018 @ $21/Shr
- Opened @ $29 (+40% pop)
- Closed @ $28.48 at end of 1st day
- Reached a high of $42
- Closed @ $26.32/Shr on March 5, 2025

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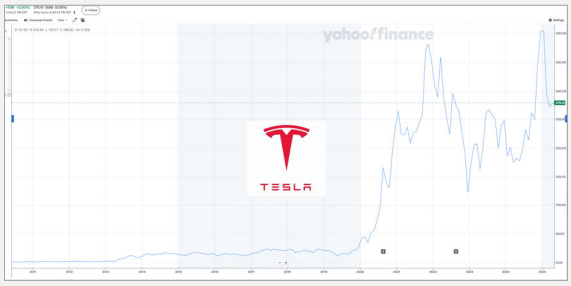

- IPO June 29, 2010 @ $17/Shr. Raised $226.1M
- Opened at $19 (+12% pop)
- Reached a high of $30.42
- Closed at $19.20 at end of 1st day
- $279.10/Shr on March 5, 2025

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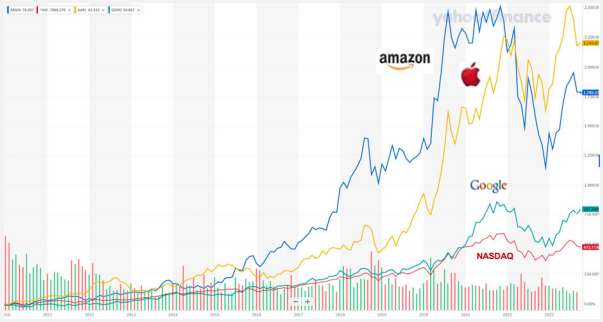
10-Year Strong Stock Performance

Building on a solid foundation of value wins in the long term…



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Be Wary of IPOs

- IPOs as a group perform poorly
- Conventional wisdom is to avoid IPO
- But:
  - VC (mentor) backed firms perform better
  - Larger firms perform better
  - Higher book-to-market firms perform better
  - Investors may demand it

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Bootstrap: Just Do It

- Personal founders' funds launched **80%** of Inc. "500" companies
  - Avoids distraction from mission
  - Enhances flexibility
  - Maintains founder ownership
  - Maintains founder control
  - Doesn't "spend over" problems
  - Controlled growth

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Facebook's IPO

Would you invest?

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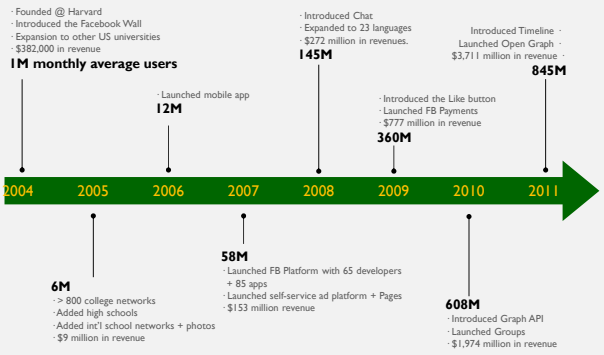
Facebook's Exponential Growth (MAUs)



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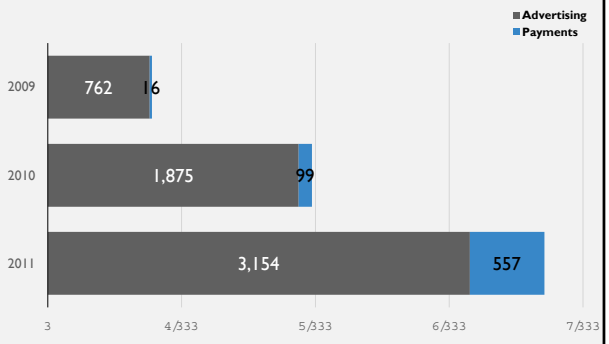
Facebook's Revenue Model ($ Millions)



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Key Metrics Driving FB Growth: DAU, MAU, ARPU

	31-Mar-09	30-Jun-09	30-Sep-09	31-Dec-09	31-Mar-10	30-Jun-10	30-Sep-10	31-Dec-10	31-Mar-11	30-Jun-11	30-Sep-11	31-Dec-11	31-Mar-12
DAUs													
US & Canada	35	40	53	64	82	85	92	99	105	117	124	126	129
Europe	35	39	50	63	79	85	94	107	120	127	135	143	152
Asia	9	13	20	29	39	45	54	64	72	85	98	105	119
Rest of World	14	16	22	29	35	42	54	58	74	87	100	109	126
Total	93	108	145	185	235	257	294	328	371	416	457	483	526
MAUs													
US & Canada	68	81	99	112	130	137	144	154	163	169	176	179	188
Europe	71	85	101	117	138	151	167	183	201	212	221	229	241
Asia	22	32	48	62	81	96	113	138	156	174	196	212	230
Rest of World	35	44	57	69	83	98	126	133	161	183	207	225	242
Total	196	242	305	360	432	482	550	608	681	738	800	845	901
Mobile MAUs	35	50	75	101	129	155	196	245	288	325	376	432	488
Average revenue per user													
US & Canada					1.77	1.87	1.93	2.77	2.49	2.84	2.80	3.20	2.86
Europe					0.76	0.9	0.84	1.25	1.19	1.33	1.34	1.60	1.40
Asia					0.31	0.36	0.36	0.46	0.43	0.50	0.56	0.56	0.53
Rest of World					0.16	0.23	0.22	0.33	0.31	0.38	0.40	0.41	0.37
Worldwide					0.87	0.94	0.90	1.26	1.14	1.26	1.24	1.38	1.21

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The Facebook Offering

Prospectus (S-1) dated:	**May 9 2012**	**%**	**May 15 2012**	**%**	**Change**	**Increase**
Shares sold by Facebook	180,000,000	53%	180,000,000	43%	0	0%
Shares sold by Existing Shareholders	157,415,352	47%	241,233,615	57%	83,818,263	53%
Total shares sold in IPO	337,415,352	100%	421,233,615	100%	83,818,263	25%
Price Talk						
Low	$ 28.00		$ 34.00			
High	$ 35.00		$ 38.00			
Mid point of price talk	$ 31.50		$ 36.00		*4.50*	14%
Net proceeds based on high end of price range $ bn						
Net proceeds to Facebook	$ 5.6	53%	$ 6.4	43%	$ 0.8	14%
Net proceeds to Existing Shareholders	$ 4.9	47%	$ 8.6	57%	$ 3.7	75%
Total	$ 10.5	100%	$ 15.0	100%	$ 4.5	43%

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Insider Control Reflected in the Cap Table

Zuckerberg Post-IPO: Cashflow Stake = 23.6%, Voting Power = 57.5%

Name of Beneficial Owner	Pre-IPO Class A Shares Owned	Pre-IPO Class B Shares Owned	Post-IPO Class A Shares Owned	Post-IPO Class B Shares Owned	% Voting Power Post-IPO	Shares To Be Sold In in IPO
Executive Officers and Directors:						
Mark Zuckerberg, Chairman and CEO	0	533,801,850		503,601,850	31.0	30,200,000
Shares subject to voting proxy	42,395,203	541,994,071	5,166,794	430,293,407	27.5	95,795,713
Total	42,395,203	1,075,795,921	5,166,794	933,895,257	57.5	125,995,713
Sheryl K. Sandberg, COO		1,899,986		1,899,986	<1.0	0
David A. Ebersman, CFO		2,399,999		2,399,999	<1.0	0
Mike Schroepfer, VP - Engineering		2,291,849		2,291,849	<1.0	0
Theodore W. Ullyot, VP - Counsel		2,025,244		2,025,244	<1.0	0
Marc L. Andreessen, Director		6,607,131		6,607,131	<1.0	0
James W. Breyer, Director		201,378,349	144,418,008	7,929,092	1.4	49,031,249
Peter A. Thiel, Director		44,724,100	18,581,901	9,297,884	<1.0	16,844,315
Other Stockholders:						
Accel Partners		201,378,349	144,418,008	7,929,092	1.4	49,031,249
DST Global Limited	36,711,928	94,567,945	5,016,794	80,600,514	5.2	45,662,565
Dustin Moskovitz		133,698,645		133,698,645	8.5	0
Goldman Sachs	65,947,241		37,274,529		<1.0	28,672,712
T. Rowe Price Associates, Inc.	6,033,630	12,158,743	6,033,630	12,158,743	<1.0	0
Elevation Partners		40,109,645		35,487,149	2.3	4,622,496
Greylock Partners		36,656,372		29,049,020	1.9	7,607,352
Mail.ru Group Limited	1,325,775	55,026,235		36,751,311	2.3	19,600,699
Mark Pincus		5,313,920		4,304,637	<1.0	1,009,283
Meritech Capital Partners		40,355,223		33,356,443	2.1	6,998,780
Microsoft Corporation		32,784,626		26,227,701	1.7	6,556,925
Reid Hoffman		4,713,920		3,771,136	<1.0	942,784
Sean Parker		69,653,657		69,653,657	4.4	0
Tiger Global Management	4,207,500	49,630,486		30,430,166	1.9	23,407,820
Valiant Capital Opportunities, LLC		36,335,590		36,335,590	2.3	0
All other selling stockholders		352,522		275,887	<1.0	76,635

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Facebook's Share Price vs Recent IPO's

			Price/Earnings		Price/Sales	
Firm	**Ticker**	**Share Price**	**2013E**	**2014E**	**2013E**	**2014E**
Amazon	AMZN	$224.39	177.7x	109.5x	1.6x	1.3x
Apple	AAPL	$553.17	12.8x	11.1x	3.3x	2.8x
Cisco Systems	CSCO	$16.54	9.0x	8.5x	1.9x	1.8x
Google	GOOG	$611.11	14.5x	12.4x	5.4x	4.6x
Groupon	GRPN	$12.17	69.2x	17.9x	3.4x	2.6x
LinkedIn	LNKD	$110.56	173.4x	96.6x	12.7x	8.6x
Microsoft	MSFT	$30.21	11.2x	10.0x	3.4x	3.2x
Yahoo!	YHOO	$15.40	17.1x	15.0x	4.1x	4.0x
Zynga	ZNGA	$8.56	33.4x	25.1x	4.5x	3.7x
		Mean	57.6x	34.0x	4.5x	3.6x
		Median	17.1x	15.0x	3.4x	3.2x
Facebook	**FB**	**$34.00**	**51.5x**	**39.1x**	**10.0x**	**7.1x**
		$38.00	**57.6x**	**43.7x**	**11.2x**	**8.0x**

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What is your decision?

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Facebook's first day pop: fizzled

Facebook Inc (NASDAQ:FB)

38.23 +0.23 (0.61%)
May 18 - Close
NASDAQ real-time data - Disclaimer
Currency in USD

Range	38.00 - 45.00	Div/yield	-
52 week	38.00 - 45.00	EPS	0.31
Open	42.05	Shares	2.74B
Vol / Avg.	580.59M/580.59M	Beta	-
Mkt cap	104.81B	Inst. own	-
P/E	122.37		

- IPO May 18, 2012 Priced at $38
- Opened at $42
- Reached $45
- Closed at $38.23 with support

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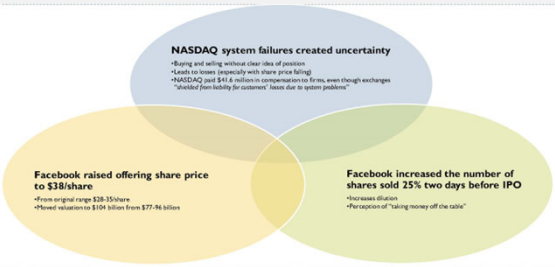
The "Perfect Storm" hit Facebook's IPO hard …



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THE WALL STREET JOURNAL.
WSJ.com

IPO OUTLOOK | June 10, 2012, 9:45 a.m. ET

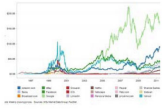
IPOs Dry Up Post Facebook

By STEVEN RUSSOLILLO And LYNN COWAN

In the aftermath of Facebook Inc.'s botched trading debut, the IPO market has gone three weeks without an offering, the longest drought in five months.

It is the slowest stretch in initial public offerings since a four-week span at the end of 2011 and the beginning of this year, according to data from Ipreo.

IPO: Go, No-Go?
Initial public offerings aren't always good investments. Here's a look at some highfliers and flame-outs of the past and present.



More photos and interactive graphics

Investors and bankers have been bracing for diminished deal activity in the summer months, largely due to turbulent market conditions. The summer is also typically a slower time of year for companies to go public.

But Facebook's troubled offering has added insult to injury. The stock is down 29% from its $38 IPO price on May 18. No U.S. company has gone public since Facebook priced, and there aren't any companies scheduled to go public in the coming week.

With investors worried about Europe's debt crisis and the U.S. economy, few expect the IPO market in the U.S. to rebound anytime soon.

There have been no marketing "roadshows" for IPOs in recent weeks, so the earliest a deal could be priced would likely be in the second half of June. And that is only if a roadshow were launched this week, said Scott Cutler, head of listings in the Americas for NYSE Euronext. "The potential of market volatility affecting pricing is the biggest problem and the most major concern," Mr. Cutler said.

In addition to the U.S. drought, the global IPO market has slowed to a crawl. Proceeds from seven global IPOs last week totaled $5,47.8 million, the slowest week since January, according to Thomson Reuters. Year-to-date proceeds from global IPOs have totaled $53.2 billion, which is down 44% from a year ago at this time.

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Facebook's fall from, rise back to, fall from, and rise back to favor…

- IPO May 18, 2012 Priced at $38
- Opened at $42
- Closed at $656.47/Shr March 5, 2025

… as Meta Platforms, Inc.

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